

Cash & Debt — Assumption Notes

LBOMODEL4 · ZoomInfo (GTM) · Written so a 16-year-old can follow

COLOR KEY: RED = cash OUTFLOW GREEN = cash INFLOW Blue/gray = not a cash-flow line. Outflows are red even when NET + for the LBO.

Every line item uses the same four big steps:

1 What this is 2 What it is required for 3 Growth trajectory 4 Major Variable

Cash, EOP

1

What this is

Cash at year-end sitting in the company's bank account after the year's cash moves.

2

What it is required for

Required so the model shows how much cash is left on hand; here it stays at the \$50m minimum.

3

Growth trajectory

0% excess. Cash EOP held at minimum \$50m (Sources D16). Full sweep keeps cash flat; dollars do not pile up.

4

Major Variable

NO — cash stock stays flat. Not the main lever; the sweep of extra cash is.

Source / proof notes

Source: REASONABLE: hold operating cash at model minimum \$50m

<https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm>

Verbatim: EQ: F144=\$D\$16 (Minimum cash desired). Filing cash was ~\$179.9m at close; excess above \$50m funded Sources (D27).

Why reasonable: Keeping only \$50m cash is normal in a full-sweep LBO so extra cash pays debt instead of sitting idle.

Less: Minimum cash desired **[OUTFLOW]**

1

What this is

The smallest cash pile the company must keep so it can pay bills and run normally.

2

What it is required for

Required as a safety floor. Cash above this can be used to pay down buyout debt.

3

Growth trajectory

\$50m flat min cash every year (Sources D16). Same floor all periods.

4

Major Variable — **OUTFLOW (red)**

YES — OUTFLOW of usable cash (locked as minimum). NET — vs using that cash to cut debt, but needed so the company can operate.

Source / proof notes

Source: REASONABLE: Minimum cash desired = \$50m in Sources

<https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm>

Verbatim: EQ: F150=−\$D\$16. Sources D16=50. Excess cash at close = filing cash − 50 → D27.

Why reasonable: The \$50m floor is the cash the business must keep to run day to day.

Plus: Free cash flows generated during period [INFLOW]

1

What this is

Free cash flow: leftover cash after running the business, interest, and needed reinvestment.

2

What it is required for

Required to pay down loans. More free cash flow usually means a stronger LBO for equity owners.

3

Growth trajectory

+5% sales-driven. FCF \$ grows each year with AI_Operating (~\$123m→~\$248m). Not a flat dollar.

4

Major Variable — INFLOW (green)

YES — INFLOW of cash to the LBO. NET + for the LBO. More free cash means more debt paydown and a better equity outcome.

Source / proof notes

Source: REASONABLE: FCF for sweep = AI_Operating FCF after interest

<https://ryanoconnellfinance.com/lbo-model-fundamentals/>

Verbatim: Ctrl+F: 50-100% of annual excess free cash flow

Verbatim: EQ: F152=AI_Operating!D21. That FCF already nets CapEx and Δ NWC from Drivers.

Why reasonable: This is the cash the deal actually makes after interest. It is what can pay down loans.

Revolver, EOP

1

What this is

A backup credit card-style loan the company can draw if it needs short-term cash.

2

What it is required for

Required as emergency funding capacity. In this case it stays at \$0 because free cash covers needs.

3

Growth trajectory

0\$ drawn. Revolver stays undrawn; FCF covers needs so no revolver inflow.

4

Major Variable

NO — not used. If drawn it would be an INFLOW of cash but also NET — (more debt). Here it is idle.

Source / proof notes

Source: CAUTION — revolver capacity \$350m but draw = \$0 in base path

<https://ryanoconnellfinance.com/lbo-model-fundamentals/>

Verbatim: EQ: F155:F157=0. Availability F158=350 is a backstop, not used cash.

Why reasonable: The revolver is a rainy-day credit line. In this case we do not need to borrow on it.

Term Loan A, BOP

1

What this is

Term Loan A starting balance — the senior bank loan taken to help buy the company.

2

What it is required for

Required to track the biggest loan that gets paid first. Paying it down raises equity value at exit.

3

Growth trajectory

–1%/yr mandatory + 100% sweep. TLA BOP starts \$457.8m (Sources 2.5× EBITDA); balance falls as cash pays it down.

4

Major Variable

YES — debt balance (not cash flow by itself). NET + for equity when the balance falls; lower TLA means less interest and more exit equity.

Source / proof notes

Source: REASONABLE: TLA principal = Sources D29 = 2.5× LTM EBITDA

<https://ctacquisitions.com/acquisition-financing/>

Verbatim: EQ: F162=\$D\$29 (457.8). Was a stale ~\$2.9bn hardcoded loan — replaced with GTM Sources stack.

Why reasonable: Term Loan A is the senior bank loan. Starting size must match the Sources page, not old template debt.

Mandatory paydown \$ (TLA) [OUTFLOW]

1

What this is

The fixed yearly amount lenders force you to repay on Term Loan A (1% of the original loan).

2

What it is required for

Required by the loan contract. It steadily shrinks debt even before extra cash sweep paydowns.

3

Growth trajectory

1%/yr of original TLA (Drivers C17). Flat \$ amort each year ($=0.01 \times \$457.8\text{m}$), not 5–10% old hardcodes.

4

Major Variable — OUTFLOW (red)

YES — OUTFLOW of cash to lenders. NET + for the LBO. Required paydown shrinks debt and helps the buyout delever.

Source / proof notes

Source: REASONABLE: Drivers C17=1% mandatory amortization

<https://clearvaluelending.com/glossary/term-loan-b>

Verbatim: Ctrl+F: minimal amortization (1% annually)

Verbatim: EQ: F163=\$D\$29*Assumptions_Drivers!\$C\$17.

Why reasonable: Lenders require a small fixed paydown each year even before the cash sweep.

Cash sweep (paydown from excess cash flows)

[OUTFLOW]

1

What this is

Extra free cash sent to repay Term Loan A after the required 1% payment is made.

2

What it is required for

Required in this LBO to cut debt fast. Sweeping cash to debt is a main way the buyout wins.

3

Growth trajectory

100% sweep (Drivers C18). Sweep \$ = $\max(0, \text{FCF} - \text{TLA mand} - \text{TLB mand})$; grows as FCF grows.

4

Major Variable — OUTFLOW (red)

YES — OUTFLOW of cash (to pay debt). NET + for the LBO. Sweeping cash to Term Loan A is how the deal gets safer and equity value rises.

Source / proof notes

Source: REASONABLE: Drivers C18=100% excess FCF sweep to debt

<https://ryanoconnellfinance.com/lbo-model-fundamentals/>

Verbatim: Ctrl+F: 50-100% of annual excess free cash flow

Verbatim: Ctrl+F: typically modeled at 100%

Verbatim: EQ: F164=MAX(0,AI_FCF-mandTLA-mandTLB)*C18. Priority: Term Loan A first.

Why reasonable: A 100% sweep means almost all leftover cash after the required 1% paydown goes to cut Term Loan A.

Cash sweep % **[OUTFLOW]**

1

What this is

The share of leftover free cash that must go to debt paydown — here set to 100%.

2

What it is required for

Required to define the paydown rule. 100% means almost all extra cash goes to loans, not dividends.

3

Growth trajectory

100% flat (Drivers C18). Sweep percent does not change; dollars swept grow with FCF.

4

Major Variable — **OUTFLOW (red)**

YES — OUTFLOW rule. NET + for the LBO. A full sweep is credit-positive: cash goes to debt, not dividends or idle cash.

Source / proof notes

Source: REASONABLE: cash sweep % = Drivers C18 = 100%

<https://ryanococonnellfinance.com/lbo-model-fundamentals/>

Verbatim: Ctrl+F: typically modeled at 100%

Verbatim: EQ: sweep dollars in F164 use Assumptions_Drivers!\$C\$18.

Why reasonable: 100% means we model using essentially all excess free cash to repay debt.

Term Loan B, BOP

1

What this is

Term Loan B starting balance — the next loan behind Term Loan A in repayment priority.

2

What it is required for

Required to track the second loan. It gets the small required paydown while TLA takes most sweep cash.

3

Growth trajectory

–1%/yr mandatory only. TLB starts \$274.7m (Sources 1.5×); falls slowly; no sweep until TLA is ahead.

4

Major Variable

YES — debt balance. NET + for equity as it declines, but less than TLA because most extra cash hits TLA first.

Source / proof notes

Source: REASONABLE: TLB principal = Sources D30 = 1.5× LTM EBITDA

<https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/>

Verbatim: EQ: F170=\$D\$30. Rate Drivers C28=SOFR+5%. Mandatory = C17× original TLB.

Why reasonable: Term Loan B sits behind Term Loan A, so it gets the small 1% paydown while TLA takes the sweep.

Mandatory amortization \$ (TLB) [OUTFLOW]

1

What this is

The fixed yearly amount lenders force you to repay on Term Loan B (1% of the original loan).

2

What it is required for

Required by the loan contract. It reduces Term Loan B a little each year.

3

Growth trajectory

1%/yr of original TLB (Drivers C17). Flat \$ amort ($=0.01 \times \$274.7\text{m}$) each year.

4

Major Variable — OUTFLOW (red)

YES — OUTFLOW of cash to TLB lenders. NET + for the LBO because it still reduces total debt each year.

Source / proof notes

Source: REASONABLE: same 1% mandatory rule on TLB

<https://clearvaluelending.com/glossary/term-loan-b>

Verbatim: Ctrl+F: minimal amortization (1% annually)

Verbatim: EQ: $F171 = \$D\$30 * \text{Assumptions_Drivers!}\$C\$17$.

Why reasonable: Same 1% lender rule as Term Loan A, applied to the Term Loan B size.

Senior Note, BOP

1

What this is

Senior Notes starting balance — bond-like debt that usually is not paid down a little each year.

2

What it is required for

Required to track junior debt that mostly waits until exit or refinance, while still charging interest.

3

Growth trajectory

0% amort. Senior Notes \$183.1m (Sources 1.0×) stay flat — bullet at maturity; no annual paydown in model.

4

Major Variable

YES — debt still outstanding. NET — vs TLA/TLB paydowns: Notes keep interest expense alive until exit/refi.

Source / proof notes

Source: REASONABLE: Notes principal = Sources D31; bullet (0% mandatory)

<https://ctacquisitions.com/acquisition-financing/>

Verbatim: EQ: F178=\$D\$31; F179=0. Interest =(SOFR+3.5%)×Notes BOP. Balance does not amortize in-forecast.

Why reasonable: Notes usually do not get paid down a little each year; they wait until the end unless refinanced.

Interest — Term Loan A [OUTFLOW]

1

What this is

Yearly interest cost on Term Loan A — the fee for borrowing that bank loan money.

2

What it is required for

Required because interest is a real cash bill. As Term Loan A falls, this cost should fall too.

3

Growth trajectory

8.3% rate flat (Drivers C27=SOFR+4%). Interest \$ falls as TLA balance falls from sweep.

4

Major Variable — OUTFLOW (red)

YES — OUTFLOW of cash (interest). NET – for the LBO each year it is paid, but falling TLA makes this outflow smaller over time (good).

Source / proof notes

Source: REASONABLE: TLA rate = Drivers C27 = SOFR 4.3% + 4.0%

<https://www.global-rates.com/en/interest-rates/sofr/historical/2024/>

Verbatim: Ctrl+F: 4.30

Verbatim: Ctrl+F: SOFR + 400-500 bps

Verbatim: EQ: F208=F162*Assumptions_Drivers!\$C\$27. IS interest

F50=-(TLA+TLB+Notes interest).

Why reasonable: Interest is the price of the loan. As Term Loan A shrinks, this interest bill should shrink too.

Interest — Term Loan B [OUTFLOW]

1

What this is

Yearly interest cost on Term Loan B — usually a bit higher than Term Loan A.

2

What it is required for

Required to capture the cash cost of the second loan. It stays painful until that balance shrinks.

3

Growth trajectory

9.3% rate flat (Drivers C28=SOFR+5%). Interest \$ edges down only with 1% TLB amort.

4

Major Variable — OUTFLOW (red)

YES — OUTFLOW of cash (interest). NET — for the LBO. Higher rate than TLA, and the balance falls only slowly.

Source / proof notes

Source: REASONABLE: TLB rate = Drivers C28 = SOFR + 5.0%

<https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/>

Verbatim: Ctrl+F: SOFR + 300-500 basis points

Verbatim: EQ: F209=F170*Assumptions_Drivers!\$C\$28.

Why reasonable: Term Loan B costs more than Term Loan A because it is riskier for lenders.

Interest — Senior Note [OUTFLOW]

1

What this is

Yearly interest cost on the Senior Notes while that Notes balance stays outstanding.

2

What it is required for

Required because Notes keep charging interest every year until exit or a refinance clears them.

3

Growth trajectory

7.8% rate flat (SOFR+3.5%). Interest \$ stays roughly flat because Notes principal does not amortize.

4

Major Variable — OUTFLOW (red)

YES — OUTFLOW of cash (interest). NET — for the LBO until exit or refinance clears the Notes.

Source / proof notes

Source: REASONABLE: Notes $\approx$ SOFR+3.5% (same stack used in DCF cost of debt)

<https://www.global-rates.com/en/interest-rates/sofr/historical/2024/>

Verbatim: EQ: $F210 = F178 * (\text{Assumptions_Drivers!}\$C\$14 + 0.035)$. Principal flat → interest roughly flat.

Why reasonable: Notes interest keeps showing up every year while the Notes balance stays outstanding.

Open from the LBO tab CASH & DEBT blue banner.